

Higher probability of profits over longer periods of time: As is well understood, equities as an asset class are prone to extreme movements in the short term. For example, whilst the Sensex has returned over 15 per cent CAGR returns over the last twenty-five years, there have been intermittent periods of unusually high drawdowns. In 2008, for instance, an investor entering the market near the peak in January would have lost over 60 per cent of value in less than twelve months of investing. Thus, whilst over longer time horizons, the odds of profiting from equity investments are very high, the same cannot be said of shorter time frames. In his book, *More Than You Know*,¹⁵ celebrated American strategist Michael Mauboussin illustrates this concept using simple maths in the context of US equities. We use that illustration here and apply it in the context of Indian equities.

The Sensex's returns over the past thirty years have been 14.5 per cent on a compounded annualized basis, whilst the standard deviation of returns (which is a measure of volatility) has been 28.6 per cent. Now using these values of returns and standard deviation and assuming a normal distribution of returns (admittedly a simplifying assumption), the probability of generating positive returns over a one-day time horizon works out to 51.2 per cent. As the time horizon increases, the probability of generating positive returns goes up as the economic and business cycle turns. The probability of generating positive returns goes up to 70 per cent if the time horizon increases to one year; the probability tends towards 100 per cent if the time horizon is increased to ten years (see the exhibit below).